IKEA GIFTING
Customer Insights & Analytics Division

Business Requirements Document

Customer Analytics & RFM Segmentation Initiative

Document Control	
Document Title	Business Requirements Document – Customer Analytics & RFM Segmentation
Project Name	IKEA Gifting Customer Analytics Initiative
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Reviewed By	Head of Customer Insights (proposed)
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1. Project Background

IKEA Gifting is a UK based, non store online retailer specializing in all occasion gift ware and home decor. A meaningful portion of its customer base consists of wholesale buyers rather than individual shoppers, which adds complexity to how customer value should be interpreted. Transaction data spans two full years, from December 2009 to December 2011. Leadership currently has no structured, data driven view of which customers drive the most revenue or which customers are showing early signs of disengagement. As a result, retention and marketing efforts have been reactive rather than targeted, and spend is not being prioritized toward the customers most likely to respond.

2. Business Objective

Identify the company's most valuable customer segments and quantify churn risk across the customer base, so that marketing, CRM, and retention teams can prioritize effort and spend toward the customers who matter most, rather than applying a uniform strategy to all customers regardless of value or risk.

3. Business Questions This Analysis Must Answer

- Who are our most valuable customers, and how much revenue do they actually contribute to the business?
- Which customers have gone quiet and are at risk of churning entirely?
- How does customer value and retention trend over time, month over month and year over year?
- How does customer value and churn risk differ across the geographic markets we serve?
- What specific, concrete actions should the business take for each customer segment identified?

4. Scope

In scope: Data extraction and cleaning in SQL, RFM (Recency, Frequency, Monetary) segmentation logic built in Python, a fixed threshold churn flag, and a multi page interactive Power BI dashboard summarizing findings and supporting drill down analysis.

Out of scope: Predictive churn modeling, individual product level recommendations, real time or automated customer scoring, and execution of any resulting marketing campaigns.

5. Data Source

Online Retail II dataset, sourced via the UCI Machine Learning Repository (donated by Daqing Chen). This dataset reflects two years of genuine transaction level activity: 1,067,371 rows covering invoices, product descriptions, quantities, unit prices, customer identifiers, and country of purchase. A backup copy will be maintained in the project's GitHub repository to guard against future source unavailability.

6. Key Definitions

Term	Definition
Recency	Number of days since a customer's most recent purchase
Frequency	Number of distinct purchase transactions made in the analysis period
Monetary	Total revenue generated by a customer in the analysis period
Churn	No recorded purchase activity in the trailing 90 days

7. Customer Segments

- Champions: high recency, high frequency, high monetary value — the business's most valuable customers
- Loyal: consistent purchase history with moderate to high value
- At Risk: previously valuable customers whose recency has recently dropped
- New: recent first time customers not yet established as repeat buyers
- Needs Attention: moderate recency but low purchase frequency
- Lost: no meaningful activity for an extended period

8. Deliverables

- A cleaned, deduplicated, analysis ready transaction dataset
- Customer level RFM scores and segment assignments
- A churn flagged customer list based on the agreed 90 day threshold
- A three page Power BI dashboard: a home/navigation page, a business overview page, and an RFM analysis page
- A written summary of key findings and recommended next actions per segment

9. Success Criteria

This analysis is considered complete when the dashboard clearly communicates segment sizes and their relative revenue contribution, the churn risk population is clearly and defensibly identified, and every finding is traceable back to the original data through a documented, repeatable process.

10. Stakeholders

Primary stakeholders for this analysis are the Marketing team, the CRM and Retention team, and Business Leadership reviewing customer value and retention trends on an ongoing basis.

11. Assumptions and Constraints

- Churn is defined using a fixed 90 day inactivity threshold rather than a statistically derived cutoff, for simplicity and interpretability
- Wholesale and individual retail customers are not separated unless the underlying data clearly distinguishes them
- This analysis reflects historical transaction data only and does not account for external factors such as promotional calendars or seasonality drivers